

VALUE UNLOCKED

- Almost all insurers, both public and private, saw an increase in average market cap
- Star Health was the only outlier, as it saw its market cap dip 5%

Insurer	2024/2023 Rank	Average m-cap* (₹ crore)	PAT (₹ crore)	RONW (%)	TTM P/E Multiple
Life Insurance Corporation of India	9/11	5,83,705 (48%)	40,916 (14%)	63.1	13.9
SBI Life Insurance Company	51/42	1,51,266 (23%)	1,894 (10%)	13.8	68.7
HDFC Life Insurance Company	55/41	1,35,936 (10%)	1,574 (15%)	11.6	87.4
ICICI Prudential Life Insurance Company	98/74	85,815 (22%)	851 (5%)	8.3	113.2
ICICI Lombard General Insurance Company	105/84	82,540 (39%)	1,919 (11%)	17.2	40.9
General Insurance Corporation of India	136/173	60,317 (103%)	6,686 (-3%)	17.2	9.8
The New India Assurance Company	194/246	37,679 (102%)	1,438 (31%)	6.7	21.9
Max Financial Services	212/195	34,242 (34%)	393 (-13%)	10.6	117.2
Star Health and Allied Insurance Company	223/156	33,052 (-5%)	845 (37%)	14.4	32.4

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023 TO SEPTEMBER 30, 2024; PAT (PROFIT AFTER TAX), TOTAL INCOME, ROCE (RETURN ON CAPITAL EMPLOYED) FOR FY24; **FIGURES** IN BRACKETS ARE YOY CHANGE IN %; **RESULTS** ON A CONSOLIDATED BASIS; **TTM** TRAILING 12 MONTHS; **P/E** IS PRICE-TO-EARNINGS; **SOURCE** ACE EQUITY

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ings segment remained steady, but non-par products saw a marginal drop, leading insurers to focus on innovative protection products to improve profitability.

GENERAL SCENARIO

The general insurance industry has grown at a compound annual growth rate (CAGR) of 14% over the past decade, largely due to increased insurance penetration. Within general insurance, the health segment has emerged as a particularly fast-growing area.

A report by brokerage JM Financial pegs the health insurance sector's CAGR at 19% from FY19 to FY24. "The retail segment, which contributes around 39% of health insurance premiums, is highly profitable, with the group and government segments contributing 51% and 10%, respectively," it says.

Despite significant growth, India's insurance penetration remains relatively low compared to developed markets. "The non-life insurance segment is projected to witness robust growth of 8.3%, fuelled by economic expansion, improved distribution channels, and government support," says Kohli of Client Associates.

GOING FORWARD

The sector has also seen notable listings this year, including Go Digit General Insurance and Medi Assist, a third-party administrator specialising in health insurance. The listings at premium valuations signal continued investor confidence in insurance.

As the sector continues to evolve, experts foresee a steady outlook for growth, albeit with some challenges. The focus on UL-

IPs is expected to remain, but this could slightly reduce VNB margins for firms. Shah says the sector is poised for expansion, though with a refined emphasis on balancing growth with profitability. "We will continue to invest in customer-centric innovations to ensure we meet evolving needs and remain resilient in a dynamic market. We remain focused on maintaining this high-growth trajectory while striving to deliver mid to high-teens growth in VNB," he says.

The data paints a clear picture: while public insurers benefit from growth fuelled by market confidence, private players are finding value in maintaining steady, resilient operations. New players are breaking in with bold entries, hoping to carve out their niche. **BT**

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